QUICK REFERENCE

The Ultimate Trader's Cheat Sheet

EMA, VWAP, Volume, RSI, and MACD — every key reference in one place.

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This cheat sheet covers the standard indicator settings, how to read each signal, and how to use them together. These are not magic — they are tools. Used correctly, they add context to price action.

Moving Averages — Standard Settings

8 EMA: short-term momentum. 20 EMA: medium-term trend. 50 SMA: intermediate trend. 200 SMA: long-term trend. Rule: price above all four = strongly bullish. Price below all four = strongly bearish. The 8 and 20 EMA are the most useful for intraday trading.

VWAP — Volume Weighted Average Price

VWAP is the average price weighted by volume throughout the day. It resets every session. Price above VWAP: buyers in control. Price below VWAP: sellers in control. VWAP is a magnet — extended stocks tend to revert to it. Institutions use VWAP as a benchmark, so it becomes a self-fulfilling level.

Volume Signals

Volume tells you conviction behind a move. High volume breakout: strong and likely to hold. Low volume breakout: suspect, likely to fail. High volume on a sell-off: panic or institutional selling. Low volume pullback in an uptrend: healthy — buyers are not exiting, just pausing.

RSI — Relative Strength Index (14-period)

RSI measures momentum on a 0-100 scale. Above 70: overbought — not a sell signal alone, but a caution zone. Below 30: oversold — not a buy signal alone, but watch for reversal signals. RSI divergence is the most useful signal: price makes a new high but RSI makes a lower high — momentum is fading.

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MACD — Standard Settings (12, 26, 9)

MACD shows the relationship between two moving averages. MACD line crosses above signal line: bullish momentum shift. MACD line crosses below signal line: bearish momentum shift. MACD histogram growing: momentum accelerating. MACD histogram shrinking: momentum fading. Most useful on daily charts for swing trade confirmation.

INDICATOR USAGE RULES

→ Indicators confirm price action — they do not replace it.

→ Never use a single indicator to make a trade decision.

→ Confluence of 2-3 signals at the same level is where the high-probability trades live.

→ Price is the primary signal. Everything else is secondary.

→ Simpler is better — most profitable traders use fewer indicators, not more.

This cheat sheet covers standard interpretations. Context matters — always read indicators in relation to the current trend and key price levels.